

Or you may simply want to move out of your parents' place as soon as possible.

The first step toward turning your financial desires into an achievable goal is calculating the dollar value of your dream. If you're not sure what that figure is, use the following guidelines:

- ***A home.*** The median-priced home for first-time home buyers in 2008 was about \$165,000. To qualify for a home loan, you usually need to make a down payment of between 10% and 20% of the total price; you'll also need to pay 1% to 5% of the house price to the bank for "closing costs." So for a \$165,000 home, you would need to have saved somewhere between \$18,150 and \$41,250. Of course, these figures could be higher or lower depending on the deal you get. (For details, see Chapter 7.)
- ***A zero balance on your credit card.*** The average college grad leaves school with about \$3,000 in credit card debt. Say you make the minimum payment each month. At that rate, it would take about twenty years and cost more than \$4,000 *in interest alone* to pay off the debt. And that's assuming you don't rack up even more debt. The lesson? The sooner you pay off your credit card, the sooner you can put your money to better use.
- ***A new car.*** Expect to make a down payment of between 10% and 20% of the total price. To buy a \$25,000 car, you'll need between \$2,500 and \$5,000 in cash. Even a used car costs, on average, \$14,000, in which case you would need to spend about \$1,400 to \$2,800 for the down payment.
- ***A financial emergency cushion.*** If you sock away at least three months' worth of living expenses, you'll have a reliable financial safety cushion. This amount will probably guard against a total disruption of your life if, for example, you lose your job. Although saving for a home, a car, or any other tangible item is a lot more exciting, accumulating